

Multiple Choice (10 marks)

1. How much cash can be obtained now on a \$4,000 loan repay-able in three years with interest compounded at $(1 / 2)\%$ per month?
 - (a) \$3,150
 - (b) \$3,800
 - (c) \$3,250
 - (d) \$3,700
 - (e) \$3,900
2. Paul Murphy wants to have \$10,000 in his account after 10 years. If interest is compounded annually at 4%, how much should Mr. Murphy invest now?
 - (a) \$7,000.00
 - (b) \$8,000.00
 - (c) \$6,500.00
 - (d) \$6,000.00
 - (e) \$7,500.00
3. A radio was originally priced at 2.25. *This week it was marked up and sold at 2.50.* Find the percent of the markup.
 - (a) 20%
 - (b) 12%
 - (c) 8%
 - (d) 11%
 - (e) 10%
4. These store goods for moderate to long periods:
 - (a) Storage warehouses.
 - (b) Inventory management systems.
 - (c) Freight trains.
 - (d) Production factories.
 - (e) Haulage transport.

5. A marketing research firm contracts with clients to conduct a complete marketing research project from data collection, analysis, and reporting. It is a _____ firm.
- (a) Data collection firm.
 - (b) Freelance agency.
 - (c) Data analysis firm.
 - (d) Survey firm.
 - (e) Full-service agency.

True / False (10 marks)

Answer True or False

- 6. True or False: The compound annual rate of return over the three years is 0.01892, suggesting positive growth during this period.
- 7. True or False: A work group with distinct tasks and distant line managers operates independently, without reliance on team collaboration.
- 8. True or False: A normative perspective describes the way things are perceived to be in the present reality.
- 9. True or False: AIDA stands for awareness, intensity, desire, and appeal, which are key elements in advertising strategies.
- 10. True or False: Workers' acceptance of change is a defining feature of a collaborative culture within organizations.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

- 11. Analyze the function $F(t) = -10,000 + 50t^4$ that represents output over time. Discuss the implications of the company's growth and determine the number of weeks required to achieve an output of 190,000.
- 12. Evaluate the impact of compounding interest on Mr. Beame's \$400 investment at a 3% semiannual rate over two years. Discuss the calculation process and the significance of compounding in financial decision-making.

End of Paper